

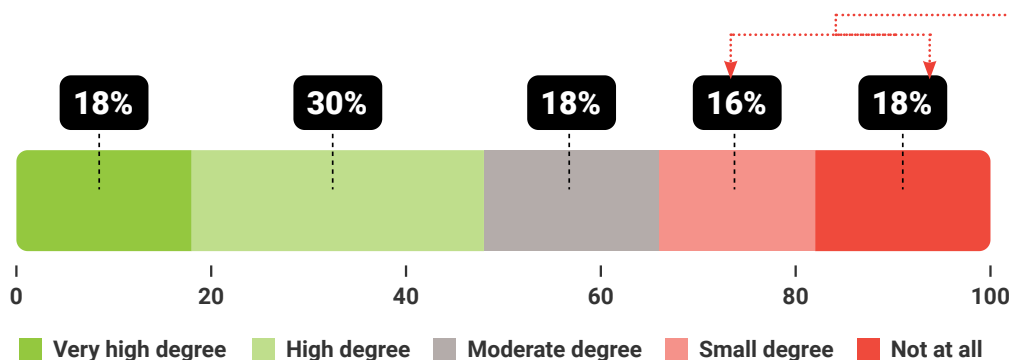
Leveraging PM Technology



Finding: Use of digital technology for performance management has grown

Nearly half of organizations (48%) now use digital technology to a high or very high degree for performance management, up from about two-fifths last year. Combined with moderate use (18%), this means the majority of organizations are leveraging some form of digital platform. Still, 18% report not using digital technology at all, and 16% use it only to a small degree, indicating that a meaningful share of organizations has yet to adopt these tools in any substantial way. There's still room for many HR professionals to better leverage digital platforms to streamline processes, enable real-time feedback, support goal tracking, and generate actionable insights.

To what degree does your organization use any type of digital technology for the purpose of performance management? (please select the one that best applies)

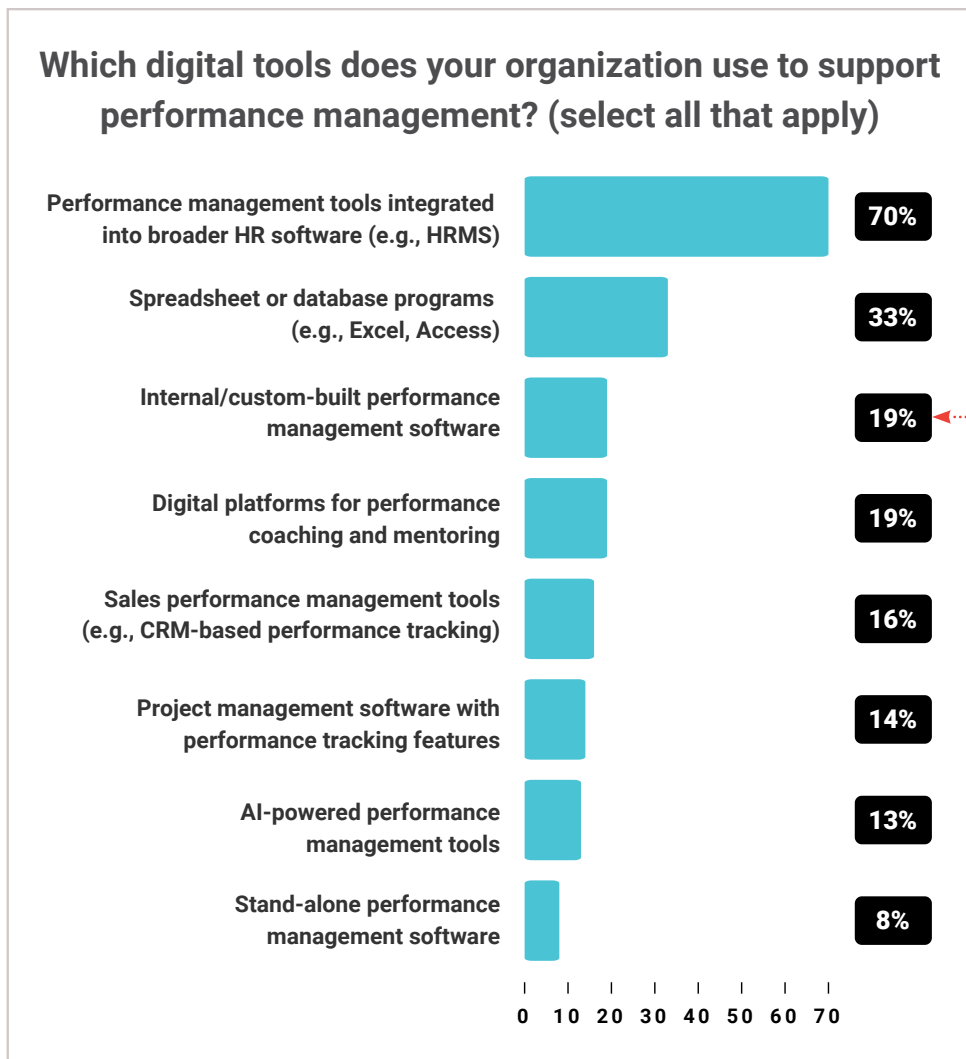


A third of organizations only use digital technology for PM to a small degree or not at all



Finding: Most organizations rely on tools integrated into HR systems to support performance management

We asked respondents what digital tools their organization uses to support performance management. Performance management tools integrated into a broader HRIS platform are by far the most common choice, used by 70% of organizations, more than double the next closest option. Spreadsheet or database programs like Excel remain a notable fallback at 33%, suggesting many organizations still rely on manual or semi-manual processes alongside or instead of dedicated software.



One in five use internal/
custom-built
PM systems

Editor's Note: In the original data, 2% of respondents stated that they "don't know." We removed those responses and recalculated, so this only shows percentages for those who answered the question substantively.



Finding: PM technology is centered around reviews and goal tracking

Most organizations use technology to facilitate performance reviews (74%) and track goals (72%), but far fewer use it to support learning and development (31%). Analytics and reporting (49%) and evaluating performance against goals (47%) also rank fairly high, reinforcing that these systems are primarily built for evaluation rather than growth. Notably, two of the top three goals of performance reviews are to help employees learn and grow and to boost communication, so there remains a serious disconnect between the goals of PM and the capabilities of most systems used by responding organizations.

Closing this gap will likely require organizations to prioritize development- and communication-focused features when selecting or upgrading PM technology.

Craig Friedman, Sr. Talent Advisor and Skills Practice Leader at St. Charles Consulting Group, argues that this disconnect persists because organizations misdiagnose where the fix belongs:

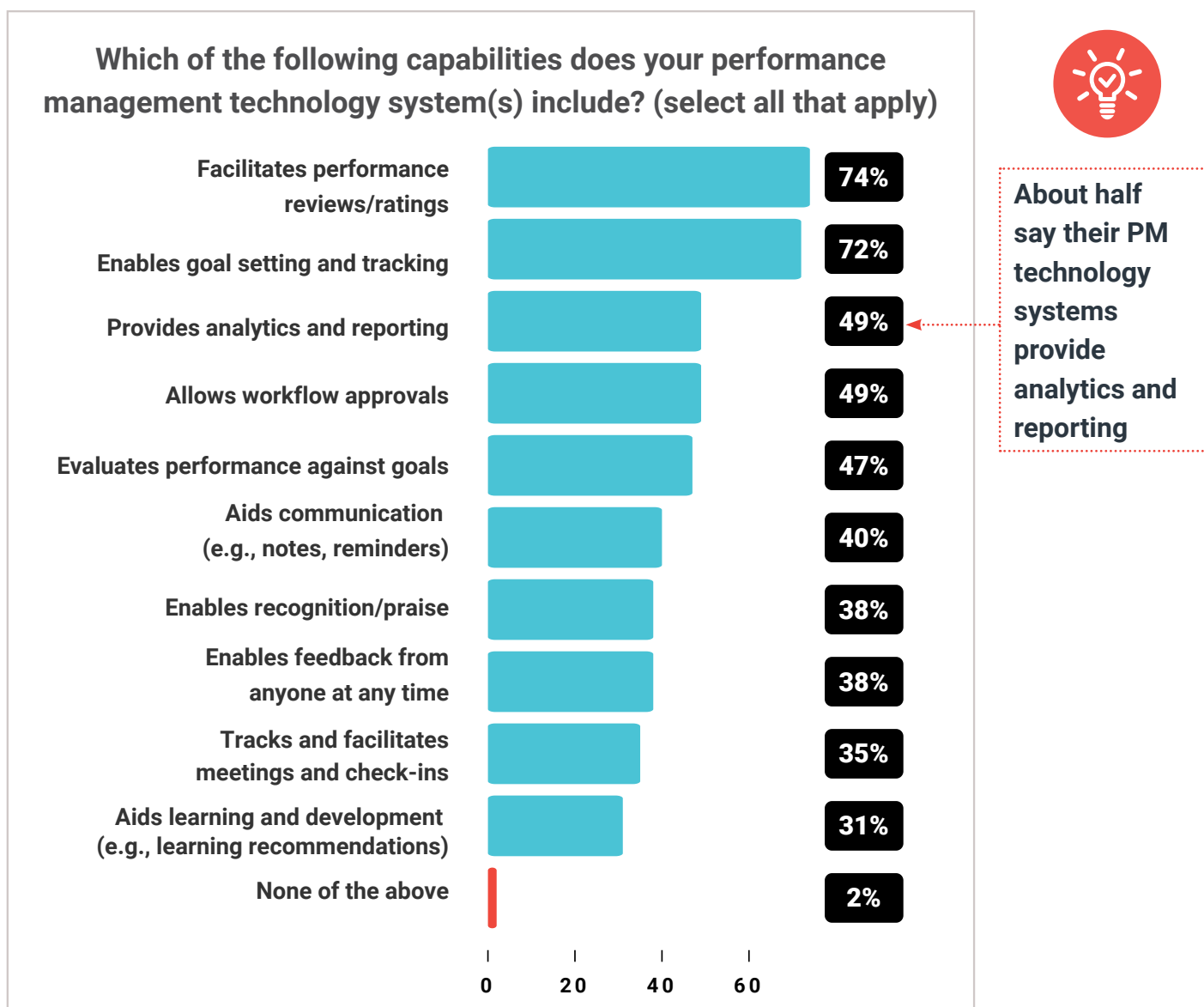
“There’s got to be a multi-channel assessment optimized for leadership and managerial skills, because most of what we develop is not focused on tracking those skills, tying them to longitudinal career tracking by linking the skills to the job architecture, measuring outcomes by connecting them to business outcomes, and better reporting, using skills intelligence to tie it to workforce planning.”

— **Craig Friedman,**

Sr. Talent Advisor and Skills Practice Leader, St. Charles Consulting Group

The result, in his view, is a pattern of piecemeal fixes rather than integration. He says, “It’s too often just ‘let’s build a training course,’ and then performance management is rarely tied to what’s going on in those trainings.”

His point sharpens the stakes: if development and communication are treated as separate initiatives rather than built into the PM system itself, technology upgrades alone won’t close it. Closing this gap will likely require organizations to prioritize development- and communication-focused features when selecting or upgrading PM technology, and to treat systems alignment as the underlying fix, rather than treating these capabilities as secondary to compliance and evaluation functions.



Editor’s Note: In the original data, 1% of respondents stated that they “don’t know.” We removed those responses and recalculated, so this only shows percentages for those who answered the question substantively.



Finding: PM technology capabilities are more advanced among PM leader organizations

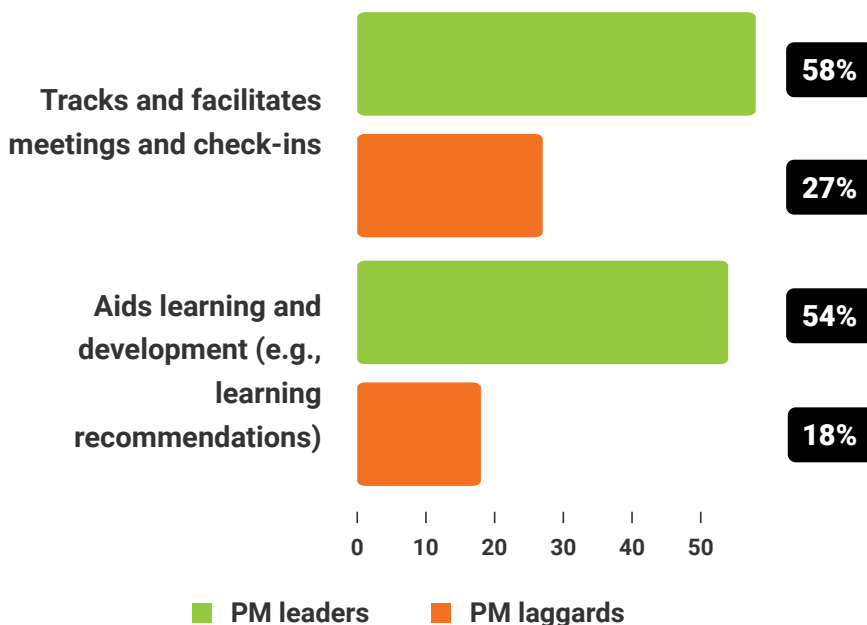
Results of Chi-square Test

A chi-square test of independence shows that PM leaders are significantly more likely than PM laggards to say their PM tech systems have all listed capabilities.

The technology systems of PM leader organizations are three times as likely to aid learning and development (54% vs. 18%) and more than twice as likely to track and facilitate meetings and check-ins (58% vs. 27%) compared to their laggard counterparts.

This indicates that leader organizations lean on technology to support ongoing development and ongoing dialogue, reinforcing a more continuous and growth-oriented approach to performance management.

Which of the following capabilities does your performance management technology system(s) include?



Editor's Note: In the original data, 6% to 17% of respondents (across the PM leader and laggard groups) stated that they "don't know." We removed those responses and recalculated, so only those who answered the question substantively were included.

HRRI Strategic Recommendations

Based on our research, please consider the following suggestions:

1. Fix the systems-alignment problem, not just the training problem.

Two of the top three goals of performance reviews are helping employees learn and grow and boosting communication, yet the technology most organizations use rarely supports either. As one contributor put it, this gap tends to get treated as a training issue when it's really an HR systems-alignment issue: adding a course doesn't help if the PM system itself was never built to reinforce it.

2. Prioritize platforms enabling recognition, ongoing check-ins, and multi-source feedback.

PM leader organizations are three times as likely to have technology that aids learning and development (54% vs. 18%) and more than twice as likely to support meeting and check-in tracking (58% vs. 27%), compared to laggards. This is one of the clearest technology differentiators between leader and laggard organizations.

3. Match technology investment to organization size and scalability needs.

Realistically, many organizations won't have a large budget specifically dedicated to PM technology, but that doesn't mean they should compromise on quality. Smaller organizations especially should seek out scalable solutions that offer the same efficiency and development benefits as larger enterprise systems, minus the enterprise-level price tag. The right platform should be able to grow alongside your organization.